

the job over to a professional? That professional could be an investment counselor, or in a bank trust department, or a broker entrusted with discretionary power. But for most people, hiring a professional means buying the shares of a mutual fund.

Investing is like a lot of other skills. You can fix your own sink, you can write your own will, and you can buy your own stocks. You may do fine, as my uncle did. And, like him, you may get pleasure out of it.

I know people who are marvelous carpenters or gardeners or amateur electricians. They enjoy puttering and repairing; it's their hobby. Well, investing is a lovely hobby. It can be pursued in any weather. It has no health or age restrictions. There is no end to the hours you can spend on it. You read interesting publications and hear the opinions of exceedingly bright and persuasive people. And it's one leisure-time activity you don't have to conceal from your spouse.

There's no magic in security analysis. Its practitioners aren't members of some mystery cult. It's just a question of trying to understand what's going to happen to a company in the next few years. If you know an industry, as Uncle David did, you have an advantage, and that's where you should look. If you know the insurance business and think that you therefore know enough about business in general to also buy computer stocks, you'll probably find out that you've lost your edge.

---

The further you stray from stocks you really understand, the more likely you are gambling rather than investing.

---

Which leads me to a basic rule for stock investors: find out what you know and what you don't know. The further you stray from